

COMMITTEE ON FEDERALISM
SENATE AMENDMENTS TO S.B. 1075
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.

[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 33, chapter 4, article 4, Arizona Revised
3 Statutes, is amended by adding section 33-459, to read:

4 33-459. Conveyance to foreign entity; prohibition;
5 identification; civil penalty; violation;
6 classification; definitions

7 A. BEGINNING ON THE EFFECTIVE DATE OF THIS SECTION, LAND IN THIS
8 STATE MAY NOT BE CONVEYED TO A HOSTILE FOREIGN ENTITY WITHOUT MAJORITY
9 APPROVAL OF BOTH THE SENATE AND THE HOUSE OF REPRESENTATIVES.

10 B. A GRANTOR IN THIS STATE AND THE GRANTOR'S AGENT, INCLUDING A
11 REAL ESTATE PROFESSIONAL LICENSED PURSUANT TO TITLE 32, CHAPTER 20, SHALL
12 SUBMIT TO THE STATE REAL ESTATE DEPARTMENT A VALID IDENTIFICATION OF ANY
13 GRANTEE. IF THE GRANTEE IS NOT A NATURAL PERSON, THE GRANTOR AND THE
14 GRANTOR'S AGENT SHALL SUBMIT A VALID IDENTIFICATION OF THE GRANTEE'S AGENT
15 AND THE NAME AND PRINCIPAL PLACE OF BUSINESS OF THE GRANTEE. THE GRANTOR,
16 THE GRANTOR'S AGENT AND THE STATE REAL ESTATE DEPARTMENT SHALL MAINTAIN A
17 COPY OF THE IDENTIFICATION PROVIDED BY THE GRANTEE OR, IF THE GRANTEE IS
18 NOT A NATURAL PERSON, THE IDENTIFICATION OF THE GRANTEE'S AGENT AND THE
19 GRANTEE'S NAME AND PRINCIPAL PLACE OF BUSINESS.

20 C. IDENTIFICATION IS DEEMED VALID UNLESS IT CAN BE DETERMINED ON
21 ITS FACE THAT THE IDENTIFICATION HAS EXPIRED.

22 [D. A PERSON OR ENTITY THAT VIOLATES THIS SECTION IS SUBJECT TO A
23 CIVIL PENALTY. THE ATTORNEY GENERAL MAY BRING AN ACTION AGAINST A PERSON
24 OR ENTITY THAT VIOLATES THIS SECTION. THE CIVIL PENALTY SHALL BE THE
25 GREATER OF THE FOLLOWING:

26 1. \$250,000.

27 2. FIFTY PERCENT OF THE FAIR MARKET VALUE OF THE INTEREST IN REAL
28 PROPERTY THAT IS THE SUBJECT OF THE VIOLATION.

1 E. A PERSON WHO KNOWINGLY VIOLATES THIS SECTION IS GUILTY OF A
2 CLASS 1 MISDEMEANOR, EXCEPT AS FOLLOWS:

3 1. IF ANY PORTION OF THE LAND IS LOCATED WITHIN TWENTY-FIVE MILES
4 OF A MILITARY INSTALLATION OR CRITICAL INFRASTRUCTURE, THE PERSON IS
5 GUILTY OF A CLASS 6 FELONY.

6 2. IF THE PERSON KNOWINGLY ACTED AS AN AGENT OF A FOREIGN
7 GOVERNMENT OR RECEIVED COMPENSATION OR DIRECTION FROM A FOREIGN
8 GOVERNMENT, THE PERSON IS GUILTY OF A CLASS 6 FELONY.]

9 ~~[D.]~~ [F.] FOR THE PURPOSES OF THIS SECTION:

10 1. "FOREIGN ENTITY" MEANS A FOREIGN GOVERNMENT, A STATE-CONTROLLED
11 ENTERPRISE OF A FOREIGN GOVERNMENT OR AN ENTITY ACTING AS AN AGENT FOR A
12 FOREIGN GOVERNMENT OR STATE-CONTROLLED ENTERPRISE OF A FOREIGN GOVERNMENT.

13 2. "HOSTILE" MEANS A FOREIGN ENTITY THAT IS LISTED AS A THREAT OR A
14 COUNTRY OF CONCERN BY THE DIRECTOR OF NATIONAL INTELLIGENCE OR THE UNITED
15 STATES DEPARTMENT OF STATE.

16 3. "VALID IDENTIFICATION" INCLUDES:

17 (a) ANY DOCUMENT THAT BEARS THE PHOTOGRAPH, NAME AND ADDRESS OF THE
18 GRANTEE OR~~[.]~~ IF THE GRANTEE IS NOT A NATURAL PERSON, THE GRANTEE'S AGENT.

19 (b) AN ARIZONA DRIVER LICENSE, AN ARIZONA NONOPERATING
20 IDENTIFICATION LICENSE, A TRIBAL ENROLLMENT CARD OR ANOTHER FORM OF TRIBAL
21 IDENTIFICATION OR A UNITED STATES, STATE OR LOCAL GOVERNMENT-ISSUED
22 IDENTIFICATION.

23 Sec. 2. Section 37-231, Arizona Revised Statutes, is amended to
24 read:

25 37-231. State lands subject to sale; rights reserved in lands
26 sold; state lands not subject to sale; development
27 agreements

28 A. All state lands, except as otherwise provided for in this title,
29 including all improvements made or placed on or connected with state
30 lands, shall be subject to appraisal and sale as provided in this title.

31 B. Any person over eighteen years of age is entitled to purchase
32 any of the state lands EXCEPT AS PROVIDED IN SECTION 37-240.

33 C. All sales, grants, deeds or patents to any state lands sold
34 between July 9, 1954 and March 18, 1968 shall be subject to and shall
35 contain a reservation to ~~the~~ THIS state of an undivided one-sixteenth of
36 all oil, gases and other hydrocarbon substances, coal or stone, metals,
37 minerals, fossils and fertilizer of every name and description, together
38 with all uranium, all thorium, or any other material ~~which~~ THAT is or may
39 be determined by the laws of ~~the~~ THIS state or the United States or
40 decisions of courts to be peculiarly essential to the production of
41 fissionable materials, whether or not of commercial value, subject to the
42 following:

43 1. ~~For the purpose of promoting~~ TO PROMOTE the sale of state lands
44 and the more active cooperation of the owner of the soil, and to
45 facilitate the development of its mineral resources, ~~the~~ THIS state
46 constitutes the purchaser of the land its agent for the purposes specified
47 in this section, and in consideration hereof, relinquishes to and vests in

1 the purchaser of the state land an undivided fifteen-sixteenths of all
2 oil, gas and the value thereof which may be ~~upon~~ ON or within any state
3 land purchased after July 9, 1954 and before March 18, 1968.

4 2. The purchaser of the soil may sell or lease to any person, firm
5 or corporation the oil and gas and other minerals ~~which~~ THAT may be on or
6 in the land, ~~upon~~ ON terms and conditions THAT the purchaser and the owner
7 deem best, subject to the provisions and reservations of this section, but
8 the lessee or purchaser shall pay to ~~the~~ THIS state an undivided
9 one-sixteenth of the mineral produced or the value of the mineral produced
10 at the well or mine as determined by the ~~state-land~~ department.

11 3. ~~Upon~~ ON discovery of oil and gas in paying quantities on land
12 adjoining state lands purchased under the authority of this section, the
13 purchaser or the purchaser's lessee shall drill and produce all wells
14 necessary to protect the land so purchased from drainage by wells on lands
15 in which ~~the~~ THIS state has no royalty interest, ~~or~~ has a lesser royalty
16 interest. If the purchaser or the purchaser's lessee fails to protect
17 against such drainage, ~~the~~ THIS state, acting through the ~~state-land~~
18 department, ~~may~~, three months after demand therefor in writing by the
19 ~~state-land~~ department to such purchaser and the purchaser's lessee, MAY
20 enter ~~upon~~ ON such lands and drill all wells necessary to protect ~~the~~ THIS
21 state against such drainage.

22 4. The interest reserved by ~~the~~ THIS state in any state lands sold
23 may be committed to a drilling unit or cooperative or unit plans of
24 development and operation of oil and gas pools with the United States, its
25 agencies and its and their lessees and permittees, and with private owners
26 and persons holding oil and gas leases on private lands or on state lands.
27 The ~~state-land~~ department ~~may~~, insofar as the interest of ~~the~~ THIS state
28 may be affected thereby, MAY join in and consent to any such plan on
29 behalf of ~~the~~ THIS state. Such agreements shall provide for the equitable
30 division on an agreed basis of the oil and gas produced from the unit, but
31 ~~no~~ such agreement shall NOT relieve any operator from the obligation to
32 develop reasonably the lands and leases as a whole committed thereto. The
33 royalties to which ~~the~~ THIS state is entitled on production from land
34 purchased under this section shall be computed only on that part of the
35 production allocated to such tract. When the agreements made under this
36 section provide for the return of gas to a formation underlying the unit,
37 they may provide that no royalties are required to be paid on the gas so
38 returned.

39 D. State lands known to contain oil, gases and other hydrocarbon
40 substances, geothermal resources, coal or stone, metals, minerals, fossils
41 and fertilizer of every name and description, in paying quantities, or
42 uranium, thorium or any other material ~~which~~ THAT is or may be determined
43 by the laws of ~~the~~ THIS state OR the United States or BY decisions of
44 court to be peculiarly essential to the production of fissionable
45 materials, whether or not of commercial value, and state lands adjoining
46 lands ~~upon~~ ON which there are producing oil, gas or geothermal wells or
47 adjoining lands known to contain any of such substances in paying

1 quantities, or uranium, thorium or any other material peculiarly essential
2 to the production of fissionable materials, whether or not of commercial
3 value, shall not be sold. The prohibition against sale shall not operate
4 to prevent the sale of lands known to contain, in paying quantities,
5 common variety minerals as defined in section 27-271 or to prevent the
6 sale of lands where ~~the~~ THIS state does not own such substances, minerals
7 or metals in the lands sought to be sold. ~~The provisions of~~ This
8 subsection ~~shall~~ DOES not prohibit the sale of such lands located within
9 the exterior boundaries of an incorporated city or town, in which case the
10 commissioner may offer the land for sale, provided the land shall be used
11 solely for a public purpose. Such land shall revert to ~~the~~ THIS state if
12 it is used other than for a public purpose.

13 E. Notwithstanding ~~the provisions of~~ subsection C of this section,
14 all state lands sold after March 18, 1968 shall be sold with the
15 reservation that all oil, gas, other hydrocarbon substances, helium or
16 other substances of a gaseous nature, geothermal resources, coal, metals,
17 minerals, fossils, fertilizer of every name and description, together with
18 all uranium, all thorium or any other material ~~which~~ THAT is or may be
19 determined by the laws of the United States or of this state, ~~or~~ BY
20 decisions of court, ~~to~~ be peculiarly essential to the production of
21 fissionable materials, whether or not of commercial value, and the
22 exclusive right thereto, on, in, or under such land, shall be and remain
23 and be reserved in and retained by ~~the~~ THIS state, regardless of any sale
24 under this section and the issuance of any certificate of purchase to any
25 purchaser of state lands pursuant to this section, provided, that the
26 reservation shall not include common variety minerals as defined in
27 section 27-271, subject to the following:

28 1. The ~~state land~~ department shall adopt rules providing for the
29 protection of the patentee or contract purchaser of state lands, or their
30 successors in interest, and ~~the~~ THIS state ~~of Arizona~~, against damage to
31 the lands, livestock, water, crops, ~~or~~ other tangible improvements on
32 lands held by such patentee or contract purchaser, and suffered by reason
33 of the use or occupation of such lands by lessees or permittees engaged in
34 mining and oil, gas and geothermal resource exploration and development
35 under leases or permits executed by the department. The ~~state land~~
36 department ~~may~~, at any time, MAY require each of its lessees or permittees
37 to execute a bond in a reasonable principal amount conditioned ~~upon~~ ON
38 payment for all such damages.

39 2. The mineral rights reserved to ~~the~~ THIS state in the lands sold
40 shall be closed to entry and location as a mineral claim or claims, but
41 the department may issue, ~~upon~~ ON application, mineral exploration permits
42 embracing the reserved mineral rights when such issuance is deemed in the
43 best interest of ~~the~~ THIS state, provided that the surface owner or owners
44 shall have the first right of refusal to acquire such mineral exploration
45 permits.

1 Sec. 3. Section 37-240, Arizona Revised Statutes, is amended to
2 read:

3 37-240. Limits on sales of state lands; civil penalty;
4 violation; classification; definitions

5 A. ~~No~~ A person may NOT purchase more than six hundred forty acres
6 of grazing land~~,~~ or more than one hundred sixty acres of agricultural
7 land.

8 B. ~~No~~ Sales~~[, leases or subleases]~~ of state lands ~~shall~~ MAY NOT be
9 made to ~~corporations~~ A CORPORATION or ~~associations~~ ASSOCIATION THAT IS not
10 qualified to transact business in ~~the~~ THIS state.

11 C. BEGINNING ON THE EFFECTIVE DATE OF THIS AMENDMENT TO THIS
12 SECTION, SALES~~[, LEASES OR SUBLEASES]~~ OF STATE LANDS MAY NOT BE MADE TO A
13 HOSTILE FOREIGN ENTITY WITHOUT THE MAJORITY APPROVAL OF BOTH THE SENATE
14 AND THE HOUSE OF REPRESENTATIVES.

15 [D. A PERSON OR ENTITY THAT VIOLATES SUBSECTION C OF THIS SECTION
16 IS SUBJECT TO A CIVIL PENALTY. THE ATTORNEY GENERAL MAY BRING AN ACTION
17 AGAINST A PERSON OR ENTITY THAT VIOLATES THIS SECTION. THE CIVIL PENALTY
18 SHALL BE THE GREATER OF THE FOLLOWING:

19 1. \$250,000.

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21 PROPERTY THAT IS THE SUBJECT OF THE VIOLATION.

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36 STATES DEPARTMENT OF STATE.

37 Enroll and engross to conform

38 Amend title to conform

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